EXECUTIVE SUMMARY

1. Introduction

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

A financial and compliance audit was conducted on the operations of the municipal government of Gonzaga, Cagayan for the year ended December 31, 2015. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

2. Financial Highlights

The highlights of the financial position financial performance, appropriations, allotments and obligations of the Municipality of Gonzaga for the year ended December 31, 2015, are as follows:

Particulars	2015	2014	Increase (Decrease)
Financial Position			
Total Assets	312,534,113.55	267,768,923.65	44,765,189.90
Total Liabilities	48,208,412.59	25,834,689.30	22,373,723.99
Total Government Equity	264,325,700.96	241,934,234.35	22,391,466.61
Financial Performance			
Total Income	147,856,982.23	144,902,268.38	2,954,713.85
Total Expenses	126,010,018.50	103,080,422.24	22,929,596.26
Appropriations, Allotments and Obligations			
Appropriations - Current	154,655,463.00	155,926,680.30	(1,271,217.30)
Appropriations - Continuing	8,625,854.67	9,133,077.52	(507,222.85)
Allotments – Current	154,655,463.00	155,926,680.30	(1,271,217.30)
Allotments – Continuing	8,625,854.67	9,133,077.52	(507,222.85)
Obligations – Current	124,087,079.73	104,396,289.37	19,690,790.36
Obligations – Continuing	4,421,948.91	5,803,787.49	(1,381,838.58)

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2015 were P312,534,113.55, P48,208,412.59 and P264,325,700.96 with an increase of 17%, 87% and 9%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P147,856,982.23 and P126,010,018.50 which increased by 2% and 22%, respectively, from last year's figures.

Comparative Statement of Fund Transfers from NGAs, other LGUs, and Non-Government Organizations/People's Organizations are detailed below:

	2015	2014	Increase (Decrease)
Funds Transferred from Other Agencies:			
Fund transfers from NGAs	18,759,515.00	14,360,934.12	4,398,580.88
Fund transfers from other LGUs	0.00	0.00	0.00
TOTAL	**18,759,515.00**	**14,360,934.12**	**4,398,580.88**
Funds Transferred from NGOs/POs			
Fund transfers from NGOs	0.00	0.00	0.00
Fund transfers from POs	0.00	0.00	0.00
TOTAL	**0.00**	**0.00**	**0.00**

Funds transferred to the Municipality from Other Agencies for CY 2015 amounted to P18,759,515.00 with an increase of 31% from last year's figures. There were no funds transferred from NGOs and POs for the years 2015 and 2014, respectively.

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Gonzaga due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P131,033,600.94 as of year-end.

4. Summary of Significant Observations and Recommendations

Financial and Compliance Audit

a. Collections amounting to P1,822,699.22 were not deposited intact at the end of the year contrary with COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.

We recommended that management require the Municipal Treasurer to deposit all collections totaling P1,822,699.22 as of December 31, 2015 with its

authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of possible loss, misapplication or misappropriation.

b. Cash advances totaling to P833,281.36 had remained unliquidated as of year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.

We recommended that management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances. Require the Municipal Accountant not allow the grant of additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made.

Initiate earnest effort to effect the liquidation of these cash advances of officials and employees most especially those who are still active or employed in the municipality. Likewise, issue demand letters for the immediate liquidation of cash advances to those not active/employed in the municipality.

c. The municipality paid wages amounting to P7,862,109.43 in hiring an average of One Hundred Thirty Seven (137) contractual, casual and job order personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

We recommended that management formulate a Policy Guidelines for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication.

Ensure the policy guidelines formulated does not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

d. The annual GAD Plan and Budget (GPB) totalling to P4,367,582.60 were not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, thus, identified programs, projects and activities cannot be ascertained whether it is in accordance with the Joint Circular.

We recommended that management comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

e. The approved 10-Year Ecological Solid Waste Management Plan of the municipality have not been reviewed regularly by the Municipal Solid Waste Management Board contrary with the provision of Section 12(7) of Republic Act No. 9003, also known as the Ecological Solid Waste Management Act of 2000.

We recommended that management thru the MSWMB, review their 10-Year Municipal Solid Waste Management Plan, undertake self-assessment report and make corrective action plan to address the present issues and concerns on ecological environment.

f. Liquidation reports on fund transfer from National Government Agency amounting to P4,884,202.87 for various programs implemented by the municipality were not liquidated and submitted despite completion of the project as of year-end, contrary to Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 Section and Section 4.9 of COA and Circular No. 94-013 dated December 13, 1994.

We recommended that Management strictly adhere with the provisions of Section 4.9 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2002-01 dated June 14, 2012.

g. The municipality have not submitted the accounts, disbursement vouchers and its supporting documents for transaction from July to December 2015, contrary to COA Circular No. 2009-006 dated September 15, 2009, thus, casting doubt on the reliability of the recorded disbursements.

We recommended that management adhere strictly with the provisions of COA Circular No. 2009-006 dated September 15, 2009 for the complete and timely submission of disbursement vouchers together with supporting documents.

Value for Money Audit

h. The amount of P7,672,000.00 appropriated for 20% development projects was not utilized resulting to the non-realization of the benefits that could have been derived thereat.

We recommended that management direct all concerned officials to implement immediately the projects under the 20% development fund for the benefit of its constituents and other intended beneficiaries as projected and planned.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0 %
Current Year	10,000.00	193,806.00	203,806.00	0.00	100%
Total	10,000.00	193,806.00	203,806.00	0.00	100%
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	

6. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Of the eleven (11) audit recommendations embodied in the 2014 and 2013 Annual Audit Report, six (6) were fully implemented and five (5) were not implemented as shown in Part III of this report.